

certifications in the United States, understanding which credentials matter is nontrivial. People also are “sticky” with their advisors, perhaps exhibiting a form of endowment effect or familiarity bias, in which we underestimate the riskiness of something simply because we are familiar with it. Just because you've been with an advisor for 20 years does not mean you are getting good advice. And yet, this is exactly what many believe.

These factors may have little or nothing to do with providing good financial advice, *and yet we rely on them*. Ambiguous situations give rise to additional opportunities for the clever advisor to game the system, and manipulate and exploit clients. For instance, the paper describes the psychological ploy of *catering*, which occurs when an advisor agrees with an investor's suggested approach to gain trust. Once trust is established, they can then disagree with the approach and offer bad advice.

A particularly interesting finding was that people were heavily affected by advice related to easy financial topics, offered early on in an advisory relationship. The paper describes an experiment in which advisors gave advice on “easy” topics, as well as on “hard” topics. The researchers find that if an adviser gives correct advice on an “easy” topic, the respondent can judge the quality easily, allowing them to form a firm opinion of the adviser. However, if this same adviser then follows with advice on a “hard” topic, judging the advice quality is difficult and the respondent starts making bad decisions. The respondent, who really can't judge the advice on the “hard” topic, relies on their prior judgement of the “easy” advice to determine if the “hard” topic advice is good or bad. As a result, a pre-existing good opinion of the adviser will be reinforced by “ambiguous” advice on a hard topic, regardless of whether the advice is really correct or not. This explains why advisers who can establish their trustworthiness early on in a relationship continue to be trusted, even if they give the wrong advice on hard topics.

The research on trust and relationships is scary. People can naively trust people in fancy suits bearing advice on simple financial matters. As the research shows, all you need to do is show some familiarity with the simple stuff. If the investor trusts you based on the simple advice, you can say whatever you want about the hard stuff!